Press Release

Roadmap for introduction of T+1 rolling settlement cycle in equity market – Update

Mumbai, November 23, 2022: Securities and Exchange Board of India (SEBI), on September 07, 2021, permitted Stock exchanges to introduce T+1 settlement cycle from January 01, 2022 on any of the securities available in the equity segment. Market Infrastructure Institutions (Stock Exchanges, Clearing Corporations and Depositories) (MIIs) in consultation with SEBI had agreed to a common method for transitioning of stocks to T+1 Settlement cycle.

On 08 November 2021, all MIIs issued a joint press release with regards to roadmap for the implementation of T+1 settlement cycle. Accordingly, all listed stocks, across stock exchanges (BSE, NSE & MSE), were ranked in descending order based on daily market capitalization averaged for month of October 2021. Based on the ranking arrived, the bottom 100 stocks were made available for introduction of T+1 settlement, from trade date February 25, 2022. Thereafter, from March 2022 onwards, on the last Friday (trade day) of every month, the next bottom 500 stocks from the list of stocks ranked, are being made available for introduction to T+1 settlement every month till January 2023.

As per the schedule, stocks on which futures and options (derivatives) are available are to be transitioned to T+1 settlement in two batches – December 2022 and January 2023. To bring in operational efficiency and ease for market participants, it has been now decided that all stocks on which derivatives contracts are available will be transitioned to T+1 settlement in a single batch i.e., in January 2023 instead of two separate batches.

Accordingly, Exchanges will revise the original schedule for transition of stocks to T+1 settlement and issue the circular informing the list of stocks to be transitioned in December 2022 and January 2023.

The press release is jointly issued by all MIIs.

NSE NCL BSE ICCL MSE NSDL CDSL